IB Economics - Topic 2.4: Teacher and AI Grading Guide

Critique of the Maximizing Behaviour of Consumers and Producers | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions assess HL-only content. Difficulty: 10 Easy, 25 Medium and 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

The current IB Topic 2.4 covers rational consumer-choice assumptions and behavioural limitations, choice architecture/default/restricted/mandated choices and nudge theory, and firms' profit and alternative objectives. All content is HL only, AO3. No prescribed diagram or calculation.

The uploaded 2012 IB textbook provides supplementary discussion of rational choice and business objectives but predates the current Topic 2.4 behavioural outline. Current IB syllabus content controls; detailed material from older chapters is not automatically assessed.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Rational choice and behavioural limitations: 1-16, 41-43, 47, 49

Choice architecture and nudges: 17-25, 40, 44, 48, 50

Business objectives: 26-39, 45-46, 49

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

No syllabus diagram or calculation is compulsory. Assess definitions, causal mechanism, example and evaluation; if a student draws an optional graph, judge whether its economic interpretation is correct.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | HL | 25 marks

Topic 2.4: Rational choice

(a) [10] Explain the assumptions of rational consumer choice and utility maximisation.

(b) [15] Using real-world examples, evaluate whether consumers always choose the option that gives them greatest utility.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Consumers compare feasible alternatives and select the one yielding greatest satisfaction using adequate information.

Expected diagram or calculation. No compulsory diagram in Topic 2.4; assess the stated assumptions and causal explanation.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rational choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Consumers compare feasible alternatives and select the one yielding greatest satisfaction using adequate information.

Counterargument and conditions. Information limits and inconsistent decisions challenge the model without showing every choice is irrational.

Application and real-world example. UK pension automatic enrolment illustrates how a default may affect decisions.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | HL | 25 marks

Topic 2.4: Rational choice

(a) [10] Explain why perfect information matters for rational consumer choice.

(b) [15] Using real-world examples, discuss whether providing information is enough for consumers to make utility-maximising decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Accurate knowledge of options and consequences enables comparison.

Expected diagram or calculation. No compulsory diagram; distinguish information availability from its use.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rational choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Accurate knowledge of options and consequences enables comparison.

Counterargument and conditions. Attention, comprehension and preferences determine use of information.

Application and real-world example. NHS organ-donation choices involve public information and consent safeguards.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | HL | 25 marks

Topic 2.4: Rational choice

(a) [10] Explain how a consumer could choose differently when information about a product is incomplete.

(b) [15] Using real-world examples, evaluate the claim that imperfect information is the main limitation of rational choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Missing consequences can lead to a choice different from one under full information.

Expected diagram or calculation. No compulsory diagram; show the counterfactual with fuller information.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rational choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Missing consequences can lead to a choice different from one under full information.

Counterargument and conditions. Bounded self-control and framing also affect choices even with facts available.

Application and real-world example. NHS organ consent communications provide a decision context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | HL | 25 marks

Topic 2.4: Rational choice

(a) [10] Explain the distinction between a consumer's preferences and the information available about alternatives.

(b) [15] Using real-world examples, discuss whether observed changes in choice prove that consumer preferences have changed.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. An information change can alter the selected option even if preferences remain stable.

Expected diagram or calculation. No compulsory diagram; explain separate roles of values and beliefs.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rational choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. An information change can alter the selected option even if preferences remain stable.

Counterargument and conditions. Defaults, constraints or genuine preference shifts can also alter choice.

Application and real-world example. Pension enrolment changes should not be taken as proof of changing retirement preferences.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | HL | 25 marks

Topic 2.4: Rational choice

(a) [10] Explain why a choice that differs from an economist's prediction need not be irrational.

(b) [15] Using real-world examples, evaluate the usefulness of rational choice as a benchmark for consumer behaviour.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. The observer may omit preferences, constraints or information; conditional benchmark still organizes analysis.

Expected diagram or calculation. No compulsory diagram; identify the assumed objective before evaluating.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rational choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The observer may omit preferences, constraints or information; conditional benchmark still organizes analysis.

Counterargument and conditions. Systematic biases and self-control problems reveal limits.

Application and real-world example. Organ donation choices show values and decision architecture may both matter.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | HL | 25 marks

Topic 2.4: Rules of thumb

(a) [10] Explain how a rule of thumb can alter decisions relative to a fully informed comparison of alternatives.

(b) [15] Using real-world examples, discuss whether rules of thumb necessarily lead to poor consumer decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. A simple decision shortcut reduces time and effort but may ignore relevant differences.

Expected diagram or calculation. No compulsory diagram; distinguish shortcut from random choice.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rules of thumb from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A simple decision shortcut reduces time and effort but may ignore relevant differences.

Counterargument and conditions. Shortcuts can be useful when information costs are high and options similar.

Application and real-world example. A shopper comparing unit prices rather than selecting familiar brands.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | HL | 25 marks

Topic 2.4: Anchoring

(a) [10] Explain how an initial price can act as an anchor in a consumer's assessment of value.

(b) [15] Using real-world examples, evaluate whether a reference price makes advertised discounts effective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. An initial number may shape judgment of later prices even if arbitrary.

Expected diagram or calculation. No compulsory diagram; initial number must influence later assessment.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes anchoring from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. An initial number may shape judgment of later prices even if arbitrary.

Counterargument and conditions. Consumers may know market alternatives and resist the anchor.

Application and real-world example. Retail reference pricing offers an application when actual promotion evidence is supplied.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | HL | 25 marks

Topic 2.4: Framing

(a) [10] Explain why two descriptions of the same economic choice can produce different decisions.

(b) [15] Using real-world examples, discuss whether the way an option is framed matters more than its economic consequences.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Presentation directs attention to gain/loss or salient features without changing substantive options.

Expected diagram or calculation. No compulsory diagram; show equivalence of underlying options.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes framing from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Presentation directs attention to gain/loss or salient features without changing substantive options.

Counterargument and conditions. High-stakes informed buyers may focus on outcomes; framing effects differ by setting.

Application and real-world example. Organ-donation opt-out versus opt-in descriptions offer a real institutional contrast.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | HL | 25 marks

Topic 2.4: Availability

(a) [10] Explain how an easily recalled event can influence a consumer's judgment of risk.

(b) [15] Using real-world examples, evaluate whether vivid news coverage always distorts consumer choices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Availability raises perceived frequency or salience and can alter chosen option.

Expected diagram or calculation. No compulsory diagram; avoid claiming salience proves mistaken belief.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes availability from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Availability raises perceived frequency or salience and can alter chosen option.

Counterargument and conditions. Recent information may be genuinely relevant; evidence can correct inaccurate inference.

Application and real-world example. Weather-related travel decisions after a well-publicised disruption.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | HL | 25 marks

Topic 2.4: Bias comparison

(a) [10] Explain the difference between anchoring and availability biases in consumer decisions.

(b) [15] Using real-world examples, discuss whether correcting a single bias is sufficient to improve choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Anchoring depends on initial reference; availability on ease of recall.

Expected diagram or calculation. No compulsory diagram; distinguish causal triggers.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bias comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Anchoring depends on initial reference; availability on ease of recall.

Counterargument and conditions. Several processes and real constraints can interact.

Application and real-world example. Retail sale labels and prominent recall news are distinct illustrations.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | HL | 25 marks

Topic 2.4: Bounded rationality

(a) [10] Explain how limits on attention and processing can constrain rational consumer choice.

(b) [15] Using real-world examples, evaluate the view that more information always improves consumer decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Limited capacity can make a large choice set hard to compare.

Expected diagram or calculation. No compulsory diagram; explain mechanism rather than label only.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded rationality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Limited capacity can make a large choice set hard to compare.

Counterargument and conditions. Well-organised relevant information can help; overload is context dependent.

Application and real-world example. Workplace pension choices illustrate complex options.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | HL | 25 marks

Topic 2.4: Bounded rationality

(a) [10] Explain why consumers may select an acceptable option instead of comparing every available option.

(b) [15] Using real-world examples, discuss whether an acceptable-choice strategy is necessarily inferior to maximisation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Searching every alternative is costly, so an adequate choice may be pragmatic.

Expected diagram or calculation. No compulsory diagram; distinguish satisficing as a consumer process from a firm's objective.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded rationality from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Searching every alternative is costly, so an adequate choice may be pragmatic.

Counterargument and conditions. A better choice could be missed when stakes high and search cheap.

Application and real-world example. Selecting a mobile phone plan from many tariffs is a suitable case.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | HL | 25 marks

Topic 2.4: Bounded self-control

(a) [10] Explain how a consumer can plan to save but later choose to spend.

(b) [15] Using real-world examples, evaluate whether consumers need commitment devices to meet long-term goals.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Present temptation can overcome earlier plan despite unchanged stated objective.

Expected diagram or calculation. No compulsory diagram; distinguish intention and realised action.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded self-control from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Present temptation can overcome earlier plan despite unchanged stated objective.

Counterargument and conditions. Constraints and income changes also affect saving; devices may restrict useful flexibility.

Application and real-world example. Automatic workplace pension enrolment is a relevant default context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | HL | 25 marks

Topic 2.4: Bounded self-control

(a) [10] Explain why immediate rewards may outweigh delayed benefits in a consumer's actual choice.

(b) [15] Using real-world examples, discuss whether information about future benefits is enough to change present consumption.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Self-control limitations can persist despite understanding future gain.

Expected diagram or calculation. No compulsory diagram; do not equate all present consumption with irrationality.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded self-control from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Self-control limitations can persist despite understanding future gain.

Counterargument and conditions. Information may matter where beliefs, not self-control, drive choice.

Application and real-world example. An observed saving decision or preventative-care decision may be used.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | HL | 25 marks

Topic 2.4: Bounded selfishness

(a) [10] Explain how concern for others can affect a consumer's choices.

(b) [15] Using real-world examples, evaluate whether financial self-interest is sufficient to explain all consumption decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Altruistic or fairness preferences can give utility from others' outcomes.

Expected diagram or calculation. No compulsory diagram; distinguish preference for others from lack of rationality.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded selfishness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Altruistic or fairness preferences can give utility from others' outcomes.

Counterargument and conditions. Material incentives still influence decisions; motives require evidence.

Application and real-world example. Charitable giving or organ donation under the English opt-out system.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | HL | 25 marks

Topic 2.4: Bounded selfishness

(a) [10] Explain why a consumer may reject a financially attractive option perceived as unfair.

(b) [15] Using real-world examples, discuss whether fairness considerations can be incorporated within rational consumer choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Fairness can be part of utility; narrower self-interest model predicts differently.

Expected diagram or calculation. No compulsory diagram; distinguish social preferences from factual information.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bounded selfishness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fairness can be part of utility; narrower self-interest model predicts differently.

Counterargument and conditions. Observed rejection does not uniquely identify a motive.

Application and real-world example. Consumers boycotting a firm after a documented labour controversy.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | HL | 25 marks

Topic 2.4: Default

(a) [10] Explain how changing a default option can affect choices without removing alternatives.

(b) [15] Using real-world examples, evaluate whether defaults respect consumer autonomy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Inaction selects default; switching remains possible.

Expected diagram or calculation. No compulsory diagram; describe opt-out mechanism and remaining choice.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes default from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inaction selects default; switching remains possible.

Counterargument and conditions. Inertia may mask preferences and opt-out costs vary.

Application and real-world example. UK workplace pension automatic enrolment.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | HL | 25 marks

Topic 2.4: Default

(a) [10] Explain why an opt-out choice architecture may produce a different outcome from an opt-in system.

(b) [15] Using real-world examples, discuss whether an opt-out arrangement always reveals genuine preferences.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Default shifts outcome for non-responders despite similar formal options.

Expected diagram or calculation. No compulsory diagram; distinguish consent rules from measured donation outcomes.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes default from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Default shifts outcome for non-responders despite similar formal options.

Counterargument and conditions. Safeguards, awareness and explicit refusals affect interpretation.

Application and real-world example. England organ donation deemed consent since 2020, with exclusions and family discussion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | HL | 25 marks

Topic 2.4: Restricted choice

(a) [10] Explain how restricted choice differs from a default in choice architecture.

(b) [15] Using real-world examples, evaluate whether restricting choices can improve consumer decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Restriction removes some alternatives; default leaves them available.

Expected diagram or calculation. No compulsory diagram; specify what is unavailable.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes restricted choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Restriction removes some alternatives; default leaves them available.

Counterargument and conditions. Restrictions can remove valued options and require a defensible selection criterion.

Application and real-world example. A limited number of retirement-plan options versus an automatic default.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | HL | 25 marks

Topic 2.4: Mandated choice

(a) [10] Explain how a mandated choice differs from a default option.

(b) [15] Using real-world examples, discuss whether requiring an active decision is preferable to a default.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Mandate requires response; default determines result absent response.

Expected diagram or calculation. No compulsory diagram; avoid calling an opt-out default mandatory consent.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes mandated choice from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Mandate requires response; default determines result absent response.

Counterargument and conditions. Mandate may impose decision costs or delay on people unwilling or unable to choose.

Application and real-world example. Active organ-donor registration versus deemed-consent rules is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | HL | 25 marks

Topic 2.4: Nudge

(a) [10] Explain how a nudge can change behaviour without banning alternatives.

(b) [15] Using real-world examples, evaluate whether nudges are more effective than providing information alone.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Choice architecture changes salience or default, while alternatives stay available.

Expected diagram or calculation. No compulsory diagram; distinguish nudge from command and control.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Choice architecture changes salience or default, while alternatives stay available.

Counterargument and conditions. Evidence of effect is context specific and information can address genuine misunderstandings.

Application and real-world example. Pension enrolment and communications together, with causal caution.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | HL | 25 marks

Topic 2.4: Nudge

(a) [10] Explain why a nudge may have different effects on different consumers.

(b) [15] Using real-world examples, discuss whether a single choice architecture can serve all consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Attention, preferences and constraints differ, so responses vary.

Expected diagram or calculation. No compulsory diagram; distinguish participation from well-being.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Attention, preferences and constraints differ, so responses vary.

Counterargument and conditions. Uniform presentation may still improve decisions for many at low cost.

Application and real-world example. Different workers' responses to automatic enrolment.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | HL | 25 marks

Topic 2.4: Nudge ethics

(a) [10] Explain how transparency can matter when designing a consumer nudge.

(b) [15] Using real-world examples, evaluate whether nudging consumers is compatible with informed choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Disclosed default and easy opt-out support agency.

Expected diagram or calculation. No compulsory diagram; assess autonomy and implementation conditions.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudge ethics from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disclosed default and easy opt-out support agency.

Counterargument and conditions. A concealed or difficult-to-avoid design may manipulate rather than assist.

Application and real-world example. English organ donation consultation and public awareness campaign.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | HL | 25 marks

Topic 2.4: Nudge limits

(a) [10] Explain why a nudge may not resolve a decision constrained by low income.

(b) [15] Using real-world examples, discuss whether choice architecture can substitute for additional resources.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Changing presentation cannot create purchasing power or access.

Expected diagram or calculation. No compulsory diagram; separate choice process from feasibility.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudge limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Changing presentation cannot create purchasing power or access.

Counterargument and conditions. It may still improve use of available options.

Application and real-world example. Pension participation among lower-income workers as a relevant setting.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | HL | 25 marks

Topic 2.4: Nudge evaluation

(a) [10] Explain how a change in a default could be assessed for its effect on behaviour.

(b) [15] Using real-world examples, evaluate whether a higher participation rate proves that a nudge improved welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Compare behaviour under different arrangements and consider other changes.

Expected diagram or calculation. No compulsory diagram; no statistical calculation required.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudge evaluation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compare behaviour under different arrangements and consider other changes.

Counterargument and conditions. Participation alone does not measure informed preferences or long-run benefit.

Application and real-world example. UK pension enrolment statistics and their limitations.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | HL | 25 marks

Topic 2.4: Profit maximisation

(a) [10] Explain how a firm would choose output when its objective is to maximise profit.

(b) [15] Using real-world examples, discuss whether firms always aim to maximise short-run profit.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Compare extra revenue and extra cost or total revenue minus total cost.

Expected diagram or calculation. No compulsory firm cost diagram is required in Topic 2.4.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes profit maximisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compare extra revenue and extra cost or total revenue minus total cost.

Counterargument and conditions. Ownership, time horizon and other objectives can differ.

Application and real-world example. A publicly traded firm's investment decision with supporting report.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | HL | 25 marks

Topic 2.4: Profit maximisation

(a) [10] Explain why a firm might sacrifice current profit to invest in future growth.

(b) [15] Using real-world examples, evaluate whether lower current profit shows a firm is not pursuing profit maximisation.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Current cost may support higher future returns, compatible with long-run profit objective.

Expected diagram or calculation. No compulsory diagram; distinguish short and long horizons.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes profit maximisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Current cost may support higher future returns, compatible with long-run profit objective.

Counterargument and conditions. Investments may also reflect market share or managerial goals and outcomes uncertain.

Application and real-world example. A documented firm's research investment in its annual report.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | HL | 25 marks

Topic 2.4: Market share

(a) [10] Explain how a goal of increasing market share can affect a firm's prices or output.

(b) [15] Using real-world examples, discuss whether gaining market share necessarily benefits a firm.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Lower price or expansion can attract buyers at expense of current margins.

Expected diagram or calculation. No compulsory diagram; no monopoly-pricing model required.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes market share from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower price or expansion can attract buyers at expense of current margins.

Counterargument and conditions. Competitive response, cost and persistence of share determine gains.

Application and real-world example. An actual introductory pricing campaign with dated evidence.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | HL | 25 marks

Topic 2.4: Market share

(a) [10] Explain why market-share maximisation and profit maximisation may recommend different decisions.

(b) [15] Using real-world examples, evaluate whether high market share is a reliable sign of business success.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Volume-focused choice can reduce present profit.

Expected diagram or calculation. No compulsory diagram; compare objective functions conceptually.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes market share from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Volume-focused choice can reduce present profit.

Counterargument and conditions. Scale and future loyalty may make share valuable; profit measures depend on horizon.

Application and real-world example. A documented expansion despite near-term losses is appropriate.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | HL | 25 marks

Topic 2.4: Satisficing

(a) [10] Explain why a firm may seek a satisfactory profit rather than the maximum possible profit.

(b) [15] Using real-world examples, discuss whether satisficing is a more realistic objective for small businesses.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Limited information and multiple goals support a minimum acceptable outcome.

Expected diagram or calculation. No compulsory diagram; define a satisfactory threshold.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes satisficing from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Limited information and multiple goals support a minimum acceptable outcome.

Counterargument and conditions. Some firms face strong competitive/owner pressure to seek higher profit.

Application and real-world example. A family-owned shop balancing income with flexible hours.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | HL | 25 marks

Topic 2.4: Satisficing

(a) [10] Explain how uncertainty makes it difficult for a firm to know its profit-maximising choice.

(b) [15] Using real-world examples, evaluate whether uncertainty justifies satisficing.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Unknown demand and costs prevent exact best-choice calculation.

Expected diagram or calculation. No compulsory diagram; distinguish inability to know optimum from indifference to profit.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes satisficing from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unknown demand and costs prevent exact best-choice calculation.

Counterargument and conditions. Firms can gather evidence and revise decisions, so uncertainty does not erase profit incentives.

Application and real-world example. A small restaurant considering opening hours.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | HL | 25 marks

Topic 2.4: Growth

(a) [10] Explain why a firm may prioritise expansion over current dividends or profits.

(b) [15] Using real-world examples, discuss whether growth always improves a firm's long-run performance.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Scale and presence in new markets can be valued objectives.

Expected diagram or calculation. No compulsory diagram; relate business objective to choice.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Scale and presence in new markets can be valued objectives.

Counterargument and conditions. Overexpansion, financing cost and weak demand can harm performance.

Application and real-world example. A company's documented expansion and annual results.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | HL | 25 marks

Topic 2.4: Growth

(a) [10] Explain how growth and market-share objectives can reinforce one another.

(b) [15] Using real-world examples, evaluate whether an expanding firm must be increasing its market power.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Sales expansion can raise share if faster than rivals.

Expected diagram or calculation. No compulsory diagram; avoid unsupported monopoly inference.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sales expansion can raise share if faster than rivals.

Counterargument and conditions. Overall market can grow faster; market power requires more than scale.

Application and real-world example. An expanding firm in a rapidly growing industry.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | HL | 25 marks

Topic 2.4: CSR

(a) [10] Explain how corporate social responsibility can influence a firm's production decisions.

(b) [15] Using real-world examples, discuss whether CSR necessarily conflicts with profit maximisation.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Firm may spend on working conditions or materials beyond minimum immediate-cost choice.

Expected diagram or calculation. No compulsory diagram; define concrete decision and objective.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes csr from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Firm may spend on working conditions or materials beyond minimum immediate-cost choice.

Counterargument and conditions. Trust, staff retention or demand may bring future benefit; claims need outcome evidence.

Application and real-world example. A firm's published sustainability initiative, distinguishing promise from results.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | HL | 25 marks

Topic 2.4: CSR

(a) [10] Explain why a firm might pursue an environmental objective despite higher short-run cost.

(b) [15] Using real-world examples, evaluate whether environmental commitments are credible evidence of CSR.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. An explicit cost or process choice can reflect non-profit objective.

Expected diagram or calculation. No compulsory externality diagram; this is a business-objectives question.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes csr from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. An explicit cost or process choice can reflect non-profit objective.

Counterargument and conditions. Reputation and long-run profit may also motivate, and targets may be unmet.

Application and real-world example. A verified annual sustainability report with subsequent outcomes.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | HL | 25 marks

Topic 2.4: CSR

(a) [10] Explain how the interests of customers, employees and owners can differ over a firm's CSR decision.

(b) [15] Using real-world examples, discuss whether a firm should give equal weight to all stakeholders.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Different groups bear costs and receive benefits from decisions.

Expected diagram or calculation. No compulsory diagram; avoid presuming all stakeholder interests align.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes csr from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different groups bear costs and receive benefits from decisions.

Counterargument and conditions. Weights are normative and constraints differ across firms.

Application and real-world example. A retailer's supplier standards with observed worker and consumer impacts.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | HL | 25 marks

Topic 2.4: Objectives mixed

(a) [10] Explain how a firm can pursue both profit and CSR objectives at the same time.

(b) [15] Using real-world examples, evaluate whether a firm's stated social objective reveals its actual priorities.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Some decisions yield both profit and social gains; tradeoffs reveal relative priority.

Expected diagram or calculation. No compulsory diagram; identify observable decision.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes objectives mixed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Some decisions yield both profit and social gains; tradeoffs reveal relative priority.

Counterargument and conditions. Public statements alone are not evidence of implementation.

Application and real-world example. A firm report and independent result in the same period.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | HL | 25 marks

Topic 2.4: Objectives mixed

(a) [10] Explain why the preferred business objective may change as a firm grows.

(b) [15] Using real-world examples, discuss whether all firms in an industry are likely to have the same objectives.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Ownership, financing and circumstances alter priorities.

Expected diagram or calculation. No compulsory diagram; distinguish objective from outcome.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes objectives mixed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ownership, financing and circumstances alter priorities.

Counterargument and conditions. Competitive conditions can push different firms toward similar choices.

Application and real-world example. Start-up versus mature producer in a named industry.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | HL | 25 marks

Topic 2.4: Rationality and default

(a) [10] Explain how bounded rationality helps explain the effect of defaults on consumer choices.

(b) [15] Using real-world examples, evaluate whether choosing a default indicates that the default is best for the consumer.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Limited attention and comparison can lead to passive acceptance.

Expected diagram or calculation. No compulsory diagram; distinguish mechanism and welfare judgment.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes rationality and default from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Limited attention and comparison can lead to passive acceptance.

Counterargument and conditions. Some people deliberately prefer default after informed review.

Application and real-world example. UK workplace pension automatic enrolment.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | HL | 25 marks

Topic 2.4: Framing and information

(a) [10] Explain why two informed consumers may respond differently to the same framing of an option.

(b) [15] Using real-world examples, discuss whether disclosure removes the influence of framing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Salience interacts with preferences and previous knowledge.

Expected diagram or calculation. No compulsory diagram; avoid treating informed as identical.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes framing and information from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Salience interacts with preferences and previous knowledge.

Counterargument and conditions. Clear information and active comparison may reduce effect.

Application and real-world example. Different responses to organ-donation communications.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 2.4: Bias and business

(a) [10] Explain why a firm's marketing might exploit an anchoring bias.

(b) [15] Using real-world examples, evaluate whether firms' use of reference prices should be considered evidence of consumer irrationality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Anchor can affect perceived value and willingness to buy.

Expected diagram or calculation. No compulsory diagram; tie producer action to consumer process.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes bias and business from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Anchor can affect perceived value and willingness to buy.

Counterargument and conditions. Discount may be genuinely informative and motives cannot be inferred from a single ad.

Application and real-world example. A documented reference-price promotion with historic actual prices.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 2.4: Self-control and default

(a) [10] Explain how a savings default can help a consumer with bounded self-control.

(b) [15] Using real-world examples, discuss whether automatic enrolment is likely to improve all workers' economic well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Automatic contribution reduces need for repeated active decisions.

Expected diagram or calculation. No compulsory diagram; connect intention, inaction and constraints.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes self-control and default from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Automatic contribution reduces need for repeated active decisions.

Counterargument and conditions. Some need current income or have different savings needs.

Application and real-world example. UK automatic enrolment with possibility of opting out.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 2.4: Social preferences and CSR

(a) [10] Explain how consumers' concern for other people could influence firms' CSR objectives.

(b) [15] Using real-world examples, evaluate whether consumer pressure is enough to sustain responsible business behaviour.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Buyers valuing treatment of others may reward responsible practice.

Expected diagram or calculation. No compulsory diagram; do not require externality analysis.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes social preferences and csr from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Buyers valuing treatment of others may reward responsible practice.

Counterargument and conditions. Information is imperfect and willingness to pay/affordability varies.

Application and real-world example. A named product certification and observed consumer response.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 2.4: Nudges and firms

(a) [10] Explain how a firm can use choice architecture without restricting available products.

(b) [15] Using real-world examples, discuss whether a private firm's nudge necessarily benefits consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Default or ordering changes salience while options remain.

Expected diagram or calculation. No compulsory diagram; assess whose objective is served.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes nudges and firms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Default or ordering changes salience while options remain.

Counterargument and conditions. Firm incentives may favour revenue over buyer welfare.

Application and real-world example. An online checkout default with documented opt-out design.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 2.4: Decision limits

(a) [10] Explain how bounded rationality and bounded self-control differ in their effects on a consumer decision.

(b) [15] Using real-world examples, evaluate whether one behavioural explanation can account for all deviations from a planned choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Processing limits versus difficulty acting on chosen plan are distinct.

Expected diagram or calculation. No compulsory diagram; do not conflate cognition with temptation.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes decision limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Processing limits versus difficulty acting on chosen plan are distinct.

Counterargument and conditions. Income shocks or changed preferences can also produce deviations.

Application and real-world example. Workplace pension saving plan versus actual contribution.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 2.4: Objectives and evidence

(a) [10] Explain how profit, growth and market-share objectives could lead to different responses to a fall in demand.

(b) [15] Using real-world examples, discuss whether a firm's actions reveal its objective without additional evidence.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. Profit focus may reduce unprofitable output, growth focus invest, share focus discount, conditional on costs.

Expected diagram or calculation. No compulsory diagram; compare objectives without detailed oligopoly model.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes objectives and evidence from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Profit focus may reduce unprofitable output, growth focus invest, share focus discount, conditional on costs.

Counterargument and conditions. Same action can fit several objectives and market conditions.

Application and real-world example. A documented firm's downturn response and strategy statement.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 2.4: Mandate and autonomy

(a) [10] Explain how mandated choice can address inaction differently from a default.

(b) [15] Using real-world examples, evaluate whether requiring an explicit decision is always preferable to automatic enrolment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Mandatory response removes passive default outcome.

Expected diagram or calculation. No compulsory diagram; compare choice rules accurately.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes mandate and autonomy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Mandatory response removes passive default outcome.

Counterargument and conditions. Decision burden and nonresponse may delay participation.

Application and real-world example. Organ-donation registration compared with pension default in the UK.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 2.4: Model judgement

(a) [10] Explain how behavioural evidence can qualify the prediction of utility maximisation without making it useless.

(b) [15] Using real-world examples, discuss whether behavioural economics should replace rational-choice models.

Part (a) - Indicative answer and marking guidance

Essential concepts. Rational consumer choice assumes preferences, utility maximisation and adequate information. Behavioural economics examines anchoring, framing, availability, rule of thumb, bounded rationality, bounded self-control and bounded selfishness.

Required reasoning. Standard model supplies conditional benchmark; deviations identify mechanisms and contexts.

Expected diagram or calculation. No compulsory diagram; compare explanatory uses of models.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes model judgement from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Standard model supplies conditional benchmark; deviations identify mechanisms and contexts.

Counterargument and conditions. Some observed choices still match benchmark; behavioural claims require evidence.

Application and real-world example. UK pension and organ-donation contexts with cautious causal attribution.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 2.4: Firm judgement

(a) [10] Explain why a firm's short-run actions may be consistent with more than one business objective.

(b) [15] Using real-world examples, evaluate whether profit maximisation remains a useful assumption when firms state social goals.

Part (a) - Indicative answer and marking guidance

Essential concepts. A producer may seek maximum profit, a satisfactory profit, growth, market share or corporate social responsibility. The objectives can conflict or reinforce one another; actual behaviour and horizon matter.

Required reasoning. An investment may promote future profit, growth and CSR at once.

Expected diagram or calculation. No compulsory diagram; avoid inferring motives from a single action.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes firm judgement from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. An investment may promote future profit, growth and CSR at once.

Counterargument and conditions. Tradeoffs and time horizon can help distinguish actual priorities.

Application and real-world example. A documented firm's sustainability investment and profitability record.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 2.4: Choice architecture comparison

(a) [10] Explain how a default, a restricted choice and a mandated choice differ.

(b) [15] Using real-world examples, evaluate whether one form of choice architecture is suitable for every consumer decision.

Part (a) - Indicative answer and marking guidance

Essential concepts. Choice architecture changes how options are presented. A default is selected on inaction, restricted choice removes options, mandated choice requires active selection, and a nudge changes behaviour without prohibiting alternatives.

Required reasoning. Default selects on inaction, restriction removes options, mandate requires an active response.

Expected diagram or calculation. No compulsory diagram; identify what happens if the person does nothing under each design.

Common misconceptions. Distinguish an observed decision from proof of its motivation; a changed default does not ban alternatives and a social preference need not be irrational. For this question, check specifically that the student distinguishes choice architecture comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Default selects on inaction, restriction removes options, mandate requires an active response.

Counterargument and conditions. Autonomy, decision costs and complexity vary by situation, making universal ranking weak.

Application and real-world example. UK pension defaults and English organ-donation rules provide contrasting contexts.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. IB Economics guide, first assessment 2022, Topic 2.4, printed p. 27.

Open source

A. UK Government consultation and commencement of deemed consent for organ and tissue donation in England, 20 May 2020; a legal default with exceptions and family safeguards.

Open source

B. Royal Swedish Academy of Sciences, 2017 Economics Prize material on Thaler and behavioural economics.

Open source

Final checks

50 paired questions; 10 Easy / 25 Medium / 15 Hard; all HL The student paper contains no answers or difficulty labels.